

Synopsys Inc

Silicon-to-Systems Strategy Unfolding; Clear Path to AI/ Agentic and Custom IP Monetization and \$35 of Earnings Power in FY30; Reit OW

We attended Synopsys' Investor Day yesterday and came away with the view that the team's strategy of architecting a silicon-to-systems design/verification/simulation integrated platform has created a differentiated solution that is moving in lock-step with their customers' chip and systems roadmaps. The addition of AI and agentic capabilities across the portfolio (RTL, digital/analog design, multi-die packaging, full system simulation) further increases value (productivity, first silicon success, high reliability), and combined with multi-physics based platforms (co-optimizing chip/packaging design/verification), and an IP strategy that is moving more towards custom high-performance circuits (SerDes I/O, high speed chip-to-chip connectivity, etc.) are all driving higher value/monetization potential for Synopsys over the next few years. Given the portfolio expansion and platform strategy, the team is now targeting a blended ~15% FY26-FY30E total revenue CAGR and ~50% OPM by FY30E vs. the current ~41.5% guided for FY26E, which should support ~\$35 of earnings power (mid-20s% EPS CAGR) by FY30E. Synopsys is also targeting returning up to 50% of FCF to shareholders, with management announcing \$1.0B of repurchase authorization to be executed over the coming months.

- **No AI cannibalization - in fact Synopsys will benefit from AI on many fronts, especially as its design/verification/simulation solutions tackle complex chip/systems co-design challenges that require optimization across electrical, thermal, power, and mechanical domains...all utilizing embedded AI capabilities and further enhanced by its new AI Agentic portfolio to drive improved productivity, accuracy, and higher monetization value to Synopsys...**The team introduced its agentic AI portfolio and autopilot platform that utilizes "agent engineers" across its entire chip/systems tool stack that can drive task execution with/without human interaction and drives better productivity, improved accuracy, and is a potential TAM expander as agents dispatched against portions of a project can drive up to 5-10x more tool calls versus conventional human-driven design flows. Furthermore, the team unveiled a multi-year arrangement with OpenAI to build a specialized GPT-SNPS model post-trained on Synopsys' agents, tools, and workflows, with OpenAI supplying the frontier reasoning capability and a group of leading customers already engaged. Although an interesting concept, we believe the GPT-SNPS model framework is ideally suited to smaller design teams/start-ups with limited engineering resources. Together with its multi-physics Fusion platform (co-optimized Synopsys 3D IC-Compiler/Ansys RedHawk for multi-die advanced packaging design) and next generation hardware assisted verification/emulation/prototyping platforms, the team now sees an EDA revenue CAGR of mid-teens (versus prior view of low-double digits %) through FY30.
- **IP strategy is moving from off-the-shelf high performance/foundational building blocks to customized high performance IP to drive continued strong licensing growth augmented by royalty revenues...announces first**

Overweight

SNPS, SNPS US

Price (30 Sep 26):\$434.94

Price Target (Dec-27):\$600.00



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J.P. Morgan Securities LLC

Quarterly Forecasts (FYE Oct)

Adj. EPS (\$)

	2025A	2026E	2027E
Q1	3.03	3.77A	4.25
Q2	3.67	3.35A	4.10
Q3	3.39	3.91	4.46
Q4	2.90	4.13	4.76
FY	12.99	15.16	17.55

Style Exposure

Quant	Current	Hist %Rank (1=Top)			
Factors	%Rank	6M	1Y	3Y	5Y
Value	42	54	50	82	69
Growth	42	59	67	62	58
Momentum	70	41	80	31	24
Quality	70	50	17	16	22
Low Vol	45	57	59	19	14
ESGQ	15	2	34	28	2

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 6 for analyst certification and important disclosures.

Price Performance



	YTD	1m	3m	12m
Abs	-7.4%	-1.7%	-2.5%	-11.8%
Rel	-20.1%	4.2%	5.0%	-26.6%

Company Data

Shares O/S (mn)	188
52-week range (\$)	539.48-362.55
Market cap (\$ mn)	81,552.12
Exchange rate	1.00
Free float (%)	99.4%
3M ADV (mn)	1.83
3M ADV (\$ mn)	745.2
Volatility (90 Day)	47
Index	RUSSELL 2000
BBG ANR (Buy Hold Sell)	24 1 0

Key Metrics (FYE Oct)

\$ in millions	FY25A	FY26E	FY27E
Financial Estimates			
Revenue	7,054	9,717	10,927
Adj. EBIT	2,128	2,183	3,050
Adj. EBITDA	2,789	4,000	4,869
Adj. net income	2,148	2,912	3,402
Adj. EPS	12.99	15.16	17.55
BBG EPS	12.84	15.14	17.83
Cashflow from operations	1,519	2,800	4,612
FCFF	1,350	2,575	4,336
Margins and Growth			
Revenue Growth Y/Y (%)	15.1%	37.7%	12.5%
EBIT margin	30.2%	22.5%	27.9%
EBIT Growth Y/Y (%)	(4.9%)	2.6%	39.7%
EBITDA margin	39.5%	41.2%	44.6%
EBITDA Growth Y/Y (%)	10.1%	43.4%	21.7%
Net margin	30.4%	30.0%	31.1%
Adj. EPS growth	(1.7%)	16.8%	15.8%
Ratios			
Adj. tax rate	16.0%	18.0%	18.0%
Interest cover	-	-	-
Net debt/Equity	0.4	0.2	0.0
Net debt/EBITDA	3.8	1.3	0.2
ROE	11.5%	9.7%	10.3%
Valuation			
FCFF yield	1.9%	3.1%	5.1%
Dividend yield	-	-	-
EV/Revenue	14.9	11.2	10.0
EV/EBITDA	37.8	27.2	22.5
Adj. P/E	33.5	28.7	24.8

Summary Investment Thesis and Valuation

Investment Thesis

The EDA (electronic design automation) software segment should generate roughly mid-single-digit growth for its core tools with the potential for faster growth through ancillary product areas including pre-built design IP. The bulk of the market share in this space is divided among three vendors: Cadence Design, Synopsys, and Siemens (through its acquisition of Mentor Graphics). This provides a very stable but fierce competitive environment with vendors constantly looking to gain and defend market share through incremental product innovation. Synopsys has been outgrowing the industry on the back of its recent investments in emulation, artificial intelligence, and a mix-shift toward a faster-growing software integrity business segment, which has seen some bumps but is expected to rebound. That faster growth, combined with the stated goal to expand margins to the 30% and beyond, should act as catalysts for the stock to outperform our broader coverage, in our view.

Valuation

Our Dec-27 PT is based on ~33x our CY27 EPS of \$18.30, which stands broadly in-line with the comparable design software/EDA peers trading at 30-35x. We view this multiple as appropriate given improving EDA momentum, Design IP's return to growth, declining Ansys integration risk, and better visibility into FY27+ growth drivers, balanced against an F4Q guide that was largely in line with Street expectations and the need for further proof around Ansys revenue synergies, agentic AI monetization, and custom IP opportunities.

Performance Drivers

Market	7%
Sector	1%
Macro	9%
Style	8%
Idiosyn.	74%

Factors	6M Corr	1Y Corr
Market: MSCI US	0.43	0.34
Sect: Technology	0.37	0.12
Ind: Software & Serv	0.35	0.21
Macro:		
Credit Spread	-0.23	-0.15
US 10yr yield	0.15	0.14
Economic Surprise	0.02	0.12
Quant Styles:		
Size	-0.26	-0.27
Momentum	-0.17	-0.18
Quality	-0.10	-0.18

custom engagement with Amazon across its Graviton/Nitro/Trainium silicon portfolio...Synopsys is the #2 semiconductor IP supplier in the world with a strong #1 position in interface IP (SerDes, PCIe, DDR, C-to-C, HBM, etc.) and #1 position in foundational IP (cell libraries, memory compilers, etc.), which the team typically licenses to chip customers. Given the increasing requirements for more customized, high-performance proprietary IP, the team is now engaged in developing application-optimized IP (AOIP) for select customers - and the team has adopted a licensing/royalty-based monetization model given the significant value the team is providing to its customers. The team announced a \$1B multi-year, multi-generation AOIP agreement with Amazon spanning AWS' Graviton, Trainium, and Nitro family of CPU/DPU/XPU products, indicating the ~\$1B reflects licensing fees only, with royalties captured separately as the designs move into production. We view this as among the more tangible datapoints of the day for AOIP since the custom IP opportunity was still largely ahead of the company as of F3Q. Given the new licensing/royalty monetization model, combined with the pipeline of AOIP customers, the team sees their IP franchise growing at a 17%+ CAGR through FY30 (versus prior target of 15%).

- **Ansysis synergy capture running ahead of schedule, with cost synergies complete a year early and revenue synergies ramping sooner...**Management now expects to complete its \$400M cost synergy target in FY27, one year ahead of plan, while holding the \$400M revenue synergy run-rate commitment at FY29, although the ramp is arriving earlier than previously framed, with its first multiphysics Fusion revenue synergy now expected in FY27 and over \$100M of run-rate synergies exiting FY27E. The pull-in was attributed to customer reception of the offering, where the initial five-customer cohort has since widened. Simulation & Analysis now carries a 10%+ long-term growth CAGR - similar to the type of growth outlook at the 2024 analyst day.
- **Updated financial model implies higher earnings power, with mid-20s% earnings growth off ~15% revenue growth...** Working off a ~\$9.71B FY26E revenue base, management guided to a blended mid-teens% revenue CAGR through FY30E and raised CAGR targets, taking EDA to mid-teens growth with a 13%+ floor from low-teens growth prior, Design IP to high-teens with a 17%+ floor from mid-teens prior, and Simulation & Analysis to double-digit growth with a 10%+ floor. We would flag the margin trajectory as the more substantive disclosure, with management targeting 50% non-GAAP operating margin by FY30E from the ~41.5% guided for FY26, and above the mid-40s% previously expected, citing value capture from AI being embedded into products, portfolio optimization, and operating leverage as the drivers for margin improvement. Combined with SBC falling to ~8% of revenue by FY30E from 12.7% in FY25, management guided EPS to ~\$35 by FY30E from \$12.91 in FY25, implying mid-20s% EPS growth. On FY27, management guided to ~\$11.15B of revenue, ~44% OPM, EPS of ~\$19.08, ahead of our prior \$10.93B revenue and \$17.55 EPS estimates. Management also committed to returning up to 50% of FCF through FY30E, including \$1B of repurchases in the coming months.

Investment Thesis, Valuation and Risks

Synopsys Inc (*Overweight; Price Target: \$600.00*)

Investment Thesis

The EDA (electronic design automation) software segment should generate roughly mid-single-digit growth for its core tools with the potential for faster growth through ancillary product areas including pre-built design IP. The bulk of the market share in this space is divided among three vendors: Cadence Design, Synopsys, and Siemens (through its acquisition of Mentor Graphics). This provides a very stable but fierce competitive environment with vendors constantly looking to gain and defend market share through incremental product innovation. Synopsys has been outgrowing the industry on the back of its recent investments in emulation, artificial intelligence, and a mix-shift toward a faster-growing software integrity business segment, which has seen some bumps but is expected to rebound. That faster growth, combined with expanding margins, should act as catalysts for the stock to outperform our broader coverage, in our view. Hence, our Overweight rating.

Valuation

Our Dec-27 PT is based on ~33x our CY27E EPS of \$18.30, which stands broadly in-line with the comparable design software/EDA peers trading at 30-35x. We view this multiple as appropriate given improving EDA momentum, Design IP's return to growth, declining Ansys integration risk, and better visibility into FY27+ growth drivers, balanced against an F4Q guide that was largely in line with Street expectations and the need for further proof around Ansys revenue synergies, agentic AI monetization, and custom IP opportunities.

Risks to Rating and Price Target

- US/China trade talks lead to further tariffs or potential bans on EDA
- Supply chain issues lead to difficulty in delivering hardware or impact demand from end customers

Synopsys Inc: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY24A	FY25A	FY26E	FY27E	FY28E		1Q26A	2Q26A	3Q26E	4Q26E	
Revenue	6,127	7,054	9,717	10,927	-	Revenue	2,409A	2,276A	2,477	2,555	
COGS	(1,245)	(1,624)	(2,603)	(2,689)	-	COGS	(637)A	(630)A	(679)	(656)	
Gross profit	5,094	5,877	8,220	9,305	-	Gross profit	2,054A	1,925A	2,078	2,163	
SG&A	(1,428)	(1,844)	(2,200)	(2,177)	-	SG&A	(579)A	(554)A	(563)	(504)	
Adj. EBITDA	2,533	2,789	4,000	4,869	-	Adj. EBITDA	942A	837A	1,081	1,141	
D&A	(295)	(660)	(1,817)	(1,819)	-	D&A	(451)A	(456)A	(455)	(455)	
Adj. EBIT	2,238	2,128	2,183	3,050	-	Adj. EBIT	491A	380A	626	686	
Net Interest	0	0	0	0	-	Net Interest	0A	0A	0	0	
Adj. PBT	2,414	2,543	3,551	4,174	-	Adj. PBT	876A	785A	918	973	
Tax	(100)	(56)	(222)	(311)	-	Tax	(14)A	(2)A	(138)	(67)	
Minority Interest	21	(5)	-	-	-	Minority Interest	-	-	-	-	
Adj. Net Income	2,058	2,148	2,912	3,402	-	Adj. Net Income	718A	644A	752	798	
Reported EPS	9.21	8.06	4.64	6.33	-	Reported EPS	0.34A	0.09A	2.84	1.37	
Adj. EPS	13.21	12.99	15.16	17.55	-	Adj. EPS	3.77A	3.35A	3.91	4.13	
DPS	-	-	-	-	-	DPS	-	-	-	-	
Payout ratio	-	-	-	-	-	Payout ratio	-	-	-	-	
Shares outstanding	156	165	192	194	-	Shares outstanding	191A	192A	192	193	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	3,652	2,888	4,591	8,790	-	Gross margin	83.1%	83.3%	84.6%	85.2%	-
Accounts receivable	893	1,505	1,360	1,584	-	EBITDA margin	41.3%	39.5%	41.2%	44.6%	-
Inventories	415	365	494	576	-	EBIT margin	36.5%	30.2%	22.5%	27.9%	-
Other current assets	1,364	1,253	1,279	1,489	-	Net profit margin	33.6%	30.4%	30.0%	31.1%	-
Current assets	6,324	6,012	7,725	12,439	-	ROE	27.1%	11.5%	9.7%	10.3%	-
PP&E	546	697	761	809	-	ROA	17.6%	7.0%	6.0%	6.8%	-
LT investments	-	0	0	0	-	ROCE	25.0%	7.0%	4.3%	5.9%	-
Other non current assets	6,204	41,516	39,929	38,315	-	SG&A/Sales	23.3%	26.1%	22.6%	19.9%	-
Total assets	13,074	48,224	48,414	51,562	-	Net debt/equity	NM	0.4	0.2	0.0	-
Short term borrowings	0	22	0	0	-	P/E (x)	32.9	33.5	28.7	24.8	-
Payables	1,164	1,326	1,527	1,779	-	P/BV (x)	7.5	2.4	2.1	2.0	-
Other short term liabilities	1,487	2,374	2,373	2,813	-	EV/EBITDA (x)	33.9	37.8	27.2	22.5	-
Current liabilities	2,650	3,722	3,900	4,591	-	Dividend Yield	-	-	-	-	-
Long-term debt	16	13,462	9,914	9,714	-	Sales/Assets (x)	0.5	0.2	0.2	0.2	-
Other long term liabilities	1,380	2,571	2,669	3,182	-	Interest cover (x)	-	-	-	-	-
Total liabilities	4,045	19,755	16,484	17,487	-	Operating leverage	405.9%	(32.3%)	6.8%	318.6%	-
Shareholders' equity	9,026	28,469	31,788	34,075	-	Revenue y/y Growth	4.9%	15.1%	37.7%	12.5%	-
Minority interests	3	-	-	-	-	EBITDA y/y Growth	19.7%	10.1%	43.4%	21.7%	-
Total liabilities & equity	13,074	48,225	48,272	51,562	-	Tax rate	15.0%	16.0%	18.0%	18.0%	-
BVPS	57.93	182.28	203.53	218.17	-	Adj. Net Income y/y Growth	18.1%	4.4%	35.6%	16.8%	-
y/y Growth	45.6%	214.7%	11.7%	7.2%	-	EPS y/y Growth	17.8%	(1.7%)	16.8%	15.8%	-
Net debt/(cash)	(3,636)	10,596	5,323	924	-	DPS y/y Growth	-	-	-	-	-
Cash flow from operating activities	1,407	1,519	2,800	4,612	-						
o/w Depreciation & amortization	295	660	1,817	1,819	-						
o/w Changes in working capital	(708)	(618)	64	546	-						
Cash flow from investing activities	1,223	(15,881)	286	(276)	-						
o/w Capital expenditure	(123)	(169)	(225)	(276)	-						
as % of sales	2.0%	2.4%	2.3%	2.5%	-						
Cash flow from financing activities	156	13,356	(1,429)	(400)	-						
o/w Dividends paid	-	-	-	-	-						
o/w Net debt issued/(repaid)	(75)	13,466	(3,564)	(400)	-						
Net change in cash	2,795	(1,005)	1,657	3,936	-						
Adj. Free cash flow to firm	1,284	1,350	2,575	4,336	-						
y/y Growth	(15.2%)	5.1%	90.8%	68.4%	-						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Oct. o/w - out of which

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Synopsys Inc (SNPS, SNPS US) Price Chart



Date	Rating	Price (\$)	Price Target (\$)
30-Nov-23	OW	552.46	625
22-Feb-24	OW	543.57	650
23-May-24	OW	573.13	655
22-Aug-24	OW	564.68	685
10-Sep-25	OW	604.37	600
11-Dec-25	OW	475.83	650
27-Aug-26	OW	410.00	600

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Nov 25, 2005. All share prices are as of market close on the previous business day.

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